Project Falcon: Comprehensive Due Diligence Report

Draft for Investment Committee discussion

Arbelion Industries, Inc. proposed acquisition of Talonfield Systems, Inc. (NASDAQ: TLFS)

October 18, 2026

Fictional case study

Prepared by an AI multi-agent diligence system with human review

> This report is a draft for human decision-makers. It is not investment, legal or accounting advice. All companies, people and figures are fictional. Amounts are in US$ millions unless stated.

1. Executive summary

Proposed recommendation: Do not proceed at the current price of $24.00 per share. The Investment Committee makes the decision. If the deal team wants to stay engaged, it should re-price against current earnings and make the deal conditional on the protections in Section 6.

Why. The $24.00 offer rests on a management case that Talonfield itself withdrew on August 6, 2026. At $24.00 the enterprise value is $1,352.8m. That is 11.5x the old $118.0m EBITDA forecast, but 18.3x the company's current guidance midpoint ($74.0m) and 15.1x trailing Adjusted EBITDA ($89.7m). At the deal model's own 11.5x multiple, illustrative value is $13.28 to $17.35 per share (X-01, FIN-25). On top of the price gap sit four serious risks: revenue quality and controls, the largest customer's exit right, a patent case that threatens the core robot, and a lending covenant that may already be misreported.

Top five red flags

#	Red flag	IDs	Severity
1	**Stale valuation basis.** The deal model (v3, September 2026) uses the March 2026 case of $560.0m revenue and $118.0m Adjusted EBITDA. The August 6 10-Q replaced it with $470m to $490m and $70m to $78m.	X-01, SEC-01, NEWS-01, FIN-01, FIN-25	Critical
2	**Revenue quality and control failures.** $31.8m of Q4 2025 revenue was bill-and-hold (robots still in Talonfield's warehouse). Without it, FY2025 growth was 11.6%, not 19.1%, and Q4 grew 5.1%, not 32.4%. The prior auditor warned of expanded Q4 procedures and was dismissed; the material weakness is unremediated; $9.4m was later returned. A short seller and a class action allege abuse (allegations).	X-02, X-03, SEC-02, SEC-03, SEC-04, FIN-20	Critical
3	**Norvale can walk because of this deal.** Norvale is 31.1% of revenue. It may terminate on 90 days' notice after a change of control, has no minimum volume, and is building its own robots through Kinetic Aisle.	X-04, SEC-06, NEWS-05, FIN-08	Critical
4	**Vantor patent case and a disclosure gap.** Talonfield lost claim construction on July 22, 2026. The 10-Q filed 15 days later does not mention it and still says the claims are "without merit". Vantor's expert claims $96.4m (plaintiff figure) and Vantor will seek an injunction on Gen-3, about 42% of revenue (estimate).	X-05, LIT-F01, LIT-F02, SEC-20	Critical
5	**Covenant may be misreported and is likely to tighten.** The reported 2.26x leverage ratio appears to ignore a 15% cap on add-backs. On the most natural reading it is 2.67x today and about 3.1x to 3.6x at December 31, 2026, above the 3.00x limit. On a strict reading it is 3.65x, already above the 3.50x limit.	X-07, SEC-16, FIN-18, FIN-19	High

Valuation implications

EBITDA basis	10.0x	11.5x	13.0x
Trailing (LTM June 2026) company Adjusted EBITDA $89.7m	$14.56	$17.35	$20.13
FY2026 guidance midpoint $74.0m	$11.31	$13.61	$15.91
Diligence-adjusted LTM EBITDA $72.6m (analyst judgment)	$11.02	$13.28	$15.53

Per share, using June 30, 2026 net debt of $193.6m and 48.3m diluted shares. Illustrative only. Even 13x trailing Adjusted EBITDA gives $20.13, 16% below the offer. Crediting the full $35.0m of run-rate synergies still leaves the price at 12.6x diligence-adjusted EBITDA (FIN-01). The 34% premium is measured against a price already lifted 12% by the October 2 sale rumor; against the pre-rumor price of about $15.36 it is about 56% (X-10, not verified on the rumor itself). Unquantified exposures (Vantor injunction, possible restatement, Norvale exit) are not in these figures.

2. Answers to the six IC questions

Q1. Is Talonfield's revenue growth real and sustainable?

Partly real, but overstated and slowing. Reported FY2025 growth of 19.1% included $31.8m of Q4 bill-and-hold revenue. Without it, growth was 11.6% and Q4 grew only 5.1%, against 13% to 14% in Q1 to Q3 2025 (X-02, FIN-20). Most of that revenue was a timing pull-forward: $22.4m was delivered by June 30, 2026 and $9.4m was returned (SEC-02). In 2026 the business is shrinking on a reported basis: H1 revenue -1.7%, Q2 -4.0%, hardware -12.9% (FIN-03). Adding back the one-off credits, H1 2026 grew about 3.4% (FIN-23). Hardware backlog fell 29.8% since December 2024 and software retention (NRR) fell from 118% to 111% (X-06). Software and services still grew about 14% in H1 2026. Calder forecasts market growth of about 15% a year, so the slowdown is company-specific (X-06). The $560.0m FY2026 case required H2 revenue up 22.3% year over year and is no longer credible (FIN-01).

Q2. Are there legal exposures that could reduce value or block closing?

Yes. The Vantor patent case is the largest. The court adopted Vantor's construction on three of four terms (LIT-F01). Vantor's expert puts damages at $96.4m through trial, the complaint asks for at least $140.0m plus enhanced damages, and Vantor will seek a permanent injunction on Gen-3 (LIT-F02). These are plaintiff figures, not outcomes. Gen-3 Plus is now also accused (LIT-F03), the stay was denied and the PTAB review cannot dispose of the key patents (LIT-F04). Mediation is in December, after the IC meeting; trial is March 8, 2027 (LIT-F05). No accrual is recorded (SEC-07). A securities class action alleges bill-and-hold abuse (allegation) and stays with Talonfield after closing (LIT-F06). Pinecrest claims $12.0m for the April outage against a contract cap the company estimates at $1.4m; the hearing is November 5, 2026 (LIT-F08, X-11). None of these is likely to block closing by itself, but an injunction on Gen-3 before closing would change the deal.

Q3. How dependent is Talonfield on key customers, and are those relationships at risk?

Highly dependent, and the top relationship is at risk. Norvale was 31.1% of FY2025 revenue ($156.2m) and 47% of FY2025 growth; the top 10 customers were 61.5% (FIN-08). Norvale may terminate on 90 days' notice after a change of control and has no minimum volume; its MSA ends September 30, 2027 (SEC-06). It bought Kinetic Aisle to "reduce our dependence on any single vendor", with pilots in 2027, although it said it

will "continue to work with existing partners" for now (NEWS-05). $24.6m of the bill-and-hold revenue was with the largest customer, and the $9.4m return was also from "our largest customer", which is Norvale by inference (SEC-22). Without bill-and-hold, Norvale grew 11.4%, not 32.3% (FIN-22). Norvale also held 38% of gross receivables at December 31, 2025 (X-04).

Q4. Are there balance sheet, debt or liquidity issues we would inherit at closing?

Yes, mostly before closing. Net debt was $193.6m at June 30, 2026; leverage is 2.16x trailing Adjusted EBITDA but 4.02x trailing EBITDA (FIN-07). Cash conversion collapsed: operating cash flow was 15% of EBITDA in FY2025 and negative in H1 2026; trailing free cash flow is -$26.4m (FIN-06). Receivables days rose from 63.5 to 86.4 while the credit-loss allowance was cut (FIN-05). The covenant question is in X-07: the reported 2.26x appears to use uncapped add-backs, and a breach of the 3.00x step-down is possible by December 31, 2026. A change of control is an event of default, so Arbelion must refinance at closing: about $234.9m gross (debt $227.5m, letters of credit $4.2m, Ruiz $3.2m), or $201.0m net of cash, plus up to $11.0m of contingent severance (X-12). The main risk is a default or waiver negotiation between signing and closing.

Q5. Are there management, governance or internal control concerns?

Yes, serious ones. The facts: the prior auditor advised the Audit Committee of a material weakness and said Q4 2025 non-standard arrangements needed expanded procedures; it was dismissed on November 10, 2025, with no disagreements reported (SEC-03, SEC-23). The new auditor issued an adverse opinion on internal control, and the weakness was still unremediated with disclosure controls not effective at June 30, 2026 (SEC-04). The 2025 bonus paid at 142% of target. Without bill-and-hold, revenue clears the threshold by only $0.5m and Adjusted EBITDA (about $85.7m, margin assumed) misses the $88.0m threshold (FIN-21). The CFO gave notice on January 20, 2026 and received $900,000 (SEC-10). Anonymous sources link his exit to a revenue timing dispute; this is a rumor and the company denies it (NEWS-04). The 10-Q omitted the Markman loss (SEC-20). The CEO is also Chair, there is no lead independent director, and his family entity owns the HQ with a rent reset right on a change of control (SEC-12). Executive equity vests single-trigger (SEC-10). Intent has not been established.

Q6. What price adjustments or deal protections should we ask for?

Re-price first, then protect. Rebase the price to trailing or guidance EBITDA (FIN-25). Then: a Norvale waiver or consent as a closing condition, or a contingent value right tied to Norvale revenue; a special indemnity or escrow for Vantor with buyer consent over any settlement; an exclusivity extension past the December mediation; a no-restatement closing condition and a quality of earnings report; review of the Q3 2026 10-Q and lender compliance certificate before signing; a related-party lease amendment; double-trigger vesting; clawback and D&O tail arrangements. Section 6 sets these out.

3. Risk matrix (verified findings)

All 64 findings below were checked by the citation verifier. "Partially verified" findings use the verifier's corrected wording. Allegations and rumors are labeled.

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
X-01	Deal model uses the withdrawn March case; price is 18.3x guidance-midpoint EBITDA	Cross-source	Critical	High	Price	Price: rebase model v3 to guidance and LTM
X-02	$31.8m Q4 bill-and-hold explains the Q4 spike; FY2025 growth 11.6% without it (mostly timing pull-forward)	Cross-source	Critical	High	Price	Price; further diligence on Q4 contracts
X-03	Auditor warning and dismissal, $31.8m bill-and-hold, bonus thresholds, CFO exit, $9.4m return; allegations separate; intent not established	Cross-source	Critical	Medium	Price, closing, post-closing	Condition (no restatement); indemnity; further diligence
X-04	Norvale: change-of-control exit right, insourcing, 77% of bill-and-hold, 38% of receivables	Cross-source	Critical	High	Price, closing	Condition (Norvale waiver) or CVR
X-05	10-Q omits the Markman loss; later Vantor events undisclosed; Gen-3 about 42% of revenue	Cross-source	Critical	High	Price, closing, disclosure	Indemnity/escrow; settlement consent; disclosure rep
X-06	Hardware-led weakening across revenue, backlog, NRR, margin and cash; software and services still grow	Cross-source	High	High	Price	Price; integration plan
X-07	Reported 2.26x reconciles to uncapped add-backs; 2.67x on natural reading; possible December 2026 breach	Cross-source	High	Medium	Closing	Condition (no default or agreed waiver); obtain credit agreement
X-08	Recurring restructuring, Vantor and delay costs added back; adjusted LTM EBITDA $72.6m	Cross-source	High	High	Price	Price on adjusted EBITDA; QoE
X-09	Cyber incident larger than "not material": $1.8m added back, $2.3m credits, $12.0m claim, unverified theft claim	Cross-source	Medium	Medium	Post-closing	Further diligence (forensics); cyber rep
X-10	Premium about 56% to the pre-rumor price	Cross-source	Medium	Medium	Price	Price: use undisturbed reference
X-11	Pinecrest cap may be understated (about $4.5m estimate vs $1.4m)	Cross-source	Medium	Low	Price	Indemnity; review contract
X-12	Closing cash needs about $234.9m gross, $201.0m net; plus contingent severance and Vantor	Cross-source	High	Medium	Structure, financing	Structure: sources and uses; payoff letters
SEC-01	August 6, 2026 guidance replaced the March outlook	SEC	Critical	High	Price	Price

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
SEC-02	$31.8m bill-and-hold in Q4 2025; $9.4m returned; $22.4m delivered	SEC	Critical	High	Price, disclosure	Further diligence; no-restatement condition
SEC-03	Prior auditor advised a weakness and expanded Q4 procedures, then was dismissed	SEC	High	High	Post-closing	Further diligence (Audit Committee minutes)
SEC-04	Weakness unremediated; adverse ICFR opinion; disclosure controls not effective	SEC	High	High	Post-closing	Indemnity; SOX integration plan
SEC-05	Covenant steps down to 3.00x from September 30, 2026	SEC	High	Medium	Closing	Condition (lender waiver)
SEC-06	Change of control is a debt default; Norvale termination right	SEC	Critical	High	Closing, price	Condition; refinance at closing
SEC-07	Disclosed legal matters; Gen-3 about 70% of hardware (estimate)	SEC	High	High	Price	Indemnity/escrow
SEC-09	Q2 decline, negative operating cash flow, more revolver use	SEC	High	High	Price, liquidity	Interim operating covenants
SEC-10	Single-trigger equity vesting ($17.6m); CFO $900,000 payment	SEC	Medium	High	Post-closing	Structure: double-trigger, retention
SEC-12	HQ leased from Hale Family Properties LLC (controlled by Hale and family) with change-of-control rent reset	SEC	Medium	High	Post-closing	Condition: lease amendment
SEC-15	Covenant definition ambiguous on whether SBC is capped	SEC	High	Medium	Closing	Further diligence (credit agreement)
SEC-16	2.26x implies no add-back cap; 2.67x or 3.65x under Note 9 as summarized	SEC	High	Medium	Closing, disclosure	Condition; disclosure rep
SEC-17	3.00x test needs covenant EBITDA of $67.5m, about 11% cushion	SEC	High	Medium	Closing	Condition
SEC-20	10-Q does not mention the July 22 Markman order	SEC	Critical	High	Disclosure	Disclosure rep; indemnity
SEC-21	10-Q dropped "loss not probable / cannot estimate" wording	SEC	Medium	Medium	Disclosure	Further diligence (ASC 450 view)

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
SEC-22	$9.4m return was from the largest customer (Norvale by inference)	SEC	High	High / Medium	Price, customer	Further diligence
SEC-23	Auditor 8-K reportable event on expanded procedures; CAM not determinable	SEC	High	High	Post-closing	Further diligence (auditor report)
NEWS-01	Guidance cut; "2026 is a reset year"	News	Critical	High	Price	Price
NEWS-02	Short report allegations; $9.4m credit consistent with but does not prove them	News	Critical	Medium / Low	Price, reputation	Further diligence; indemnity
NEWS-03	Auditor switch six to seven weeks before year-end	News	High	High	Post-closing	Further diligence
NEWS-04	Rumor: CFO exit linked to revenue timing dispute; payment is fact	News	High	Low / High	Governance	Further diligence (interview)
NEWS-05	Norvale bought Kinetic Aisle to reduce vendor dependence	News	High	High / Medium	Price	Condition or CVR
NEWS-06	Ransomware outage at 40+ sites; no Item 1.05 8-K; theft claim unverified	News	High	High / Low	Post-closing	Cyber rep; forensics
NEWS-07	Q4 "record" quarter questioned; 10-K confirms $9.7m operating cash flow	News	High	High	Price	Working capital peg
NEWS-08	Fourth restructuring since 2022, each added back	News	Medium	High	Price	Price on adjusted EBITDA
LIT-F01	Markman went against Talonfield on 3 of 4 terms	Litigation	Critical	High	Price	Indemnity/escrow
LIT-F02	Vantor expert $96.4m; injunction sought on Gen-3 (plaintiff figures)	Litigation	Critical	High / Low	Price, closing	Escrow sized to exposure; injunction condition
LIT-F03	Gen-3 Plus added to the case	Litigation	High	High / Medium	Post-closing	Further diligence (design-around)
LIT-F04	Stay denied; PTAB cannot dispose of key patents	Litigation	High	High	Price	Do not rely on IPR
LIT-F05	Mediation after IC; expert discovery closes on exclusivity expiry	Litigation	High	High	Structure	Extend exclusivity; settlement consent
LIT-F06	Securities class action alleges bill-and-hold abuse (allegation)	Litigation	High	Low / High	Post-closing	Indemnity; D&O tail

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
LIT-F08	Pinecrest $12.0m claim vs $1.4m cap; hearing November 5	Litigation	Medium	High / Low	Price	Indemnity
LIT-F11	Material docket events after the 10-Q	Litigation	High	High	Disclosure	Disclosure schedules
FIN-01	EV $1,352.8m is 15.1x LTM and 18.6x adjusted LTM EBITDA	Financial	Critical	High	Price	Price
FIN-02	Q4 2025 spike supplied 46.9% of FY2025 growth	Financial	High	Medium	Price	Price
FIN-03	H1 2026 hardware -12.9%; book-to-bill below 1.0 (implied)	Financial	High	High	Price	Price
FIN-04	Add-backs 46.3% of LTM Adjusted EBITDA; adjusted $72.6m (analyst judgment)	Financial	High	High / Medium	Price	QoE; price
FIN-05	DSO 86.4 days; contract assets +142%; allowance cut	Financial	High	High / Medium	Price	Working capital peg; AR aging
FIN-06	Cash conversion collapsed; LTM free cash flow -$26.4m	Financial	High	High	Price, liquidity	Price; interim covenants
FIN-07	Net debt 4.02x LTM EBITDA; EBIT interest cover 1.36x	Financial	High	High	Financing	Refinance at closing
FIN-08	Norvale 31.1% of revenue, 47% of FY2025 growth	Financial	High	High	Price	Condition or CVR
FIN-09	ARR +5.5% in H1; NRR 118% to 111%	Financial	Medium	High	Price	Further diligence (churn)
FIN-10	H1 gross margin 38.0%; operating loss	Financial	Medium	High	Price	Integration plan
FIN-11	Inventory +17.8% (includes returned units)	Financial	Medium	High / Medium	Price	Inventory aging; peg
FIN-18	Covenant ratio 2.26x / 2.67x / 3.65x by reading	Financial	High	Medium	Closing	Condition
FIN-19	Natural reading passes September 30 but exceeds 3.00x at December 31 (3.10x to 3.61x flat debt)	Financial	High	Medium	Closing	Condition; lender engagement
FIN-20	Bill-and-hold is 39.5% of FY2025 growth (sensitivity)	Financial	Critical	High / Medium	Price	Price
FIN-21	Adjusted EBITDA bonus threshold missed without bill-and-hold	Financial	High	Medium	Governance	Clawback review

ID	Finding	Workstream	Severity	Confidence	Deal impact	Recommended action
FIN-22	Norvale growth 11.4% without its bill-and-hold	Financial	High	High	Price	Price
FIN-23	Clean H1 2026 growth about 3.4% (234.3)	Financial	High	Medium	Price	Price
FIN-25	No valuation case reaches $24.00	Financial	Critical	High / Medium	Price	Price
FIN-26	Closing cash needs about $234.9m plus contingent severance	Financial	High	High	Structure	Sources and uses

4. Workstream detail

4.1 SEC filings

Five filings were reviewed: the FY2025 10-K (filed March 9, 2026), the Q2 2026 10-Q (filed August 6, 2026), the 2026 proxy (April 24, 2026), and 8-Ks on the auditor change (November 14, 2025) and the CFO departure (January 21, 2026). All are excerpts.

- **Guidance.** The 10-Q replaced the March outlook: revenue $470m to $490m (from $555m to $565m), Adjusted EBITDA $70m to $78m (from $114m to $122m). Midpoints fell 14.3% and 37.3% (SEC-01).
- **Revenue recognition.** $31.8m of Q4 2025 hardware revenue was bill-and-hold; "these products remained in our warehouses" at year-end. In May 2026, $9.4m was returned to inventory and credited as a Q2 2026 revenue reduction, not a correction of 2025 (SEC-02, SEC-22).
- **Auditor and controls.** Hartwell & Pryce (auditor since 2016) advised the Audit Committee of a material weakness in Q3 2025 and said Q4 non-standard arrangements would expand its audit scope. It was dismissed November 10, 2025; the 8-K gives no reason and reports no disagreements. Linden Barr issued an adverse ICFR opinion; the weakness was unremediated at June 30, 2026 (SEC-03, SEC-04, SEC-23).
- **Debt.** Revolver commitment $75.0m, both facilities mature August 2029. A change of control is an event of default. The leverage limit steps down to 3.00x from September 30, 2026. The 2.26x reported at June 30 reconciles only with uncapped add-backs (SEC-05, SEC-15 to SEC-17, SEC-19, not verified for SEC-19).
- **Legal disclosure.** The 10-Q does not mention the July 22 Markman order and drops the 10-K's "not probable / cannot estimate" wording (SEC-20, SEC-21).
- **Governance.** Single-trigger equity vesting ($17.6m of $28.6m estimated change-in-control payments); CFO $900,000 payment; related-party HQ lease with a change-of-control rent reset; CEO is also Chair with no lead independent director (SEC-10, SEC-12).
- **Not found in the excerpts:** the auditor's report and any critical audit matter, equity award counts, D&O insurance terms, the clawback policy, and any 8-K after January 21, 2026 (SEC-23 to SEC-25).

4.2 News and media

Thirteen articles from November 2025 to October 2026 were reviewed. Financial wire facts taken from filings rate High; anonymous-source stories rate Low.

Date	Event	Type
Nov 14, 2025	Auditor replaced; outgoing auditor had warned of expanded Q4 work	Fact
Jan 21 to 23, 2026	CFO resigns with $900,000 payment; anonymous sources cite a revenue timing dispute	Fact / rumor
Mar 10, 2026	Record Q4 ($154.4m vs about $128m expected); adverse ICFR opinion; shares to $31.20	Fact
Apr 11 to 14, 2026	FieldOS outage at 40+ sites; ransomware theft claim unverified	Fact / rumor
May 12, 2026	Greyfin short report alleges bill-and-hold abuse; shares -18%	Allegation
Jun 24, 2026	Norvale announces Kinetic Aisle acquisition	Fact
Jul 30, 2026	About 60 job cuts; fourth restructuring since 2022	Fact
Aug 7, 2026	Guidance cut; Q2 revenue -4%; shares -14% to $16.40	Fact
Aug 20, 2026	Calder: market about 15% a year to 2030; Talonfield #3 with about 11% share	Third-party estimate
Sep 15, 2026	Proposed LiDAR tariff increase to 25%	Fact (proposal)
Oct 2, 2026	Sale exploration report names Arbelion; shares +12%	Rumor

Key verified points: NEWS-01 to NEWS-08. Not verified: the LiDAR tariff impact (NEWS-09), market comparison (NEWS-10), rumor premium (NEWS-11), FieldOS 5 dependence on Gen-3 (NEWS-12) and the scholarship program (NEWS-13, no related-party angle found).

4.3 Litigation

Matter	Posture	Exposure (stated figures, not predictions)	Next date
Vantor v. Talonfield (patent, D. Del.)	Markman mostly lost; stay denied; mediation ordered	$96.4m (Vantor expert) to $140.0m+ (complaint), plus enhanced damages and injunction on Gen-3 and Gen-3 Plus	Expert discovery closes Nov 20, 2026; mediation Dec 2026; trial Mar 8, 2027
In re Talonfield Securities Litigation (S.D. Ohio)	Lead plaintiff appointed	Not quantified	Amended complaint Nov 9, 2026
Pinecrest v. Talonfield (contract, negligence)	Motion to cap damages	$1.4m (company cap estimate) to $12.0m	Hearing Nov 5, 2026
Ruiz (wage and hour)	Settled, preliminary approval	$3.2m, accrued	Final approval Nov 13, 2026
Delmarco; OSHA	Closed	$0.4m; $48 thousand	None

The docket index understates the Vantor exposure and simplifies the securities and Pinecrest claims (LIT-F10, not verified). The securities case is at an early stage (LIT-F07, not verified).

4.4 Financial analysis

All seven financial files reconcile internally. No quality of earnings report has been received.

Metric	FY2023	FY2024	FY2025	H1 2026 / June 2026	LTM June 2026
Revenue	368.9	421.7	502.3	222.6	498.4
Revenue growth	18.1%	14.3%	19.1% (11.6% ex bill-and-hold)	-1.7%	11.0%
Gross margin	40.1%	40.8%	41.1%	38.0%	39.8%
EBITDA	42.2	52.3	64.1	10.4	48.2
Adjusted EBITDA (company)	60.4	74.8	98.8	29.9	89.7
Add-backs % of Adjusted EBITDA	30.1%	30.1%	35.1%	65.2%	46.3%
Diligence-adjusted EBITDA (analyst judgment)	55.8	68.8	84.7	22.5	72.6
Operating cash flow	30.8	40.8	9.7	-4.2	-6.9
Free cash flow	16.2	24.6	-10.1	-13.0	-26.4
DSO (days)	60.4	63.5	86.4	85.4	76.3
Net debt	65.2	151.7	178.4	193.6	
Norvale share of revenue		28.0%	31.1%	not provided	
FieldOS ARR	86.0	109.5	139.2	146.8	
Net revenue retention	121%	119%	118%	111%	
Hardware backlog	142.0	168.0	131.0	118.0	

Covenant scenarios (X-07, FIN-18, FIN-19). Covenant net debt is $202.5m (cash netting capped at $25.0m).

Reading of Consolidated EBITDA	June 30, 2026 (limit 3.50x)	Dec 31, 2026 on guidance, flat debt (limit 3.00x)
Company method (no add-back cap)	2.26x	2.60x to 2.89x
SBC in base, other add-backs capped at 15%	2.67x	about 3.1x to 3.6x
All add-backs capped at 15%	3.65x	above 4.5x

These depend on a 10-K summary of the credit agreement. The full agreement must confirm the definition.

Other financial points not verified: hardware price per robot fell 11.7% in FY2025 (FIN-12); FY2025 buybacks were debt-funded (FIN-13); add-backs flag governance events (FIN-14); tangible equity is negative (FIN-15); a D&A roll-forward gap (FIN-16); possible extra dilution at $24.00 (FIN-17); no visible litigation reserve line (FIN-24).

5. Cross-source insights

These are points no single source showed on its own.

1. **The deal brief is out of date (X-01).** The filings and the news both show the March case was withdrawn; the deal model dated a month later still uses it.
2. **A disclosed number explains a financial anomaly (X-02).** The financial data showed an unexplained Q4 2025 spike. The 10-K's $31.8m bill-and-hold amount, applied to the quarterly series, shows Q4 grew only 5.1% and the slowdown began in Q4 2025.
3. **Four sources describe one revenue recognition story (X-03).** The auditor 8-K, the 10-K, the proxy bonus terms, the CFO 8-K, the 10-Q return, the short report, anonymous sources and the class action all point at the same Q4 2025 hardware contracts. The facts stand on their own; the allegations are kept separate.
4. **Norvale risk only appears in full when combined (X-04).** The 10-K gives the termination right and receivables share, the news gives the insourcing move, and the financial data plus Note 2 show that most of Norvale's FY2025 growth was bill-and-hold.
5. **A filing made after an event it does not mention (X-05).** The court docket shows the Markman loss on July 22, 2026; the 10-Q filed August 6 calls the case "in discovery" and "without merit" and drops its earlier "not probable" reasoning. Later damages and injunction events have no filing at all.
6. **A covenant figure that does not match its own definition (X-07).** The 10-Q's 2.26x can be reproduced only with uncapped add-backs. The 10-K definition caps them. The financial data supply the add-back amounts that make the gap visible.
7. **"Non-recurring" costs that recur (X-08).** The financial data show restructuring every year; the news confirms the fourth program since 2022.
8. **A company estimate that looks low (X-11).** The $1.4m Pinecrest cap compares with about $4.5m implied by Pinecrest's revenue and the company's software mix (estimate).

6. Recommended deal protections and price considerations

Price

- Rebase the deal model to trailing and guidance EBITDA. At 11.5x, illustrative value is $13.28 to $17.35 per share (FIN-25).
- Use diligence-adjusted EBITDA ($72.6m) as the base until a quality of earnings report confirms otherwise (FIN-04, X-08).
- Measure the premium against the undisturbed pre-rumor price (X-10).

Structure

- Pay part of the price through a contingent value right tied to Norvale revenue after closing, or to the Vantor outcome (X-04, X-05).
- Fund the refinancing of about $234.9m at closing, plus letters of credit replacement (X-12).
- Require double-trigger vesting for executives, or retention awards, in place of single-trigger acceleration (SEC-10).

Closing conditions

- A Norvale written waiver of its change-of-control termination right, or a new agreement (SEC-06).
- No restatement of FY2025 financial statements and no SEC enforcement action pending (X-03).
- No injunction against Gen-3 or Gen-3 Plus sales (LIT-F02).

- No uncured covenant default, or an agreed lender waiver, between signing and closing (X-07).
- An amendment of the Hale Family Properties lease to remove the change-of-control rent reset (SEC-12).

Indemnity and escrow

- A special indemnity and escrow for Vantor, sized against the $96.4m to $140.0m plaintiff range (LIT-F02).
- A specific indemnity for the securities class action and Pinecrest (LIT-F06, LIT-F08).
- Representations on revenue recognition, internal controls, legal proceedings disclosure and cyber incidents (SEC-20, NEWS-06).

Process and further diligence

- Extend exclusivity past the December 2026 Vantor mediation, and require buyer consent to any settlement or license (LIT-F05).
- Review the Q3 2026 10-Q and the lender compliance certificate before signing (X-07).
- Commission a quality of earnings report and an independent review of the Q4 2025 bill-and-hold contracts (X-02, X-03).
- Obtain outside counsel's view on Vantor and a design-around assessment (LIT-F01, LIT-F03).
- Arrange D&O tail coverage and review the clawback policy for 2025 bonuses (SEC-25, FIN-21).

7. Open questions and management request list

Conflicts that remain open

1. Covenant: 2.26x reported vs 2.67x or 3.65x under the 10-K definition.
2. Vantor: "without merit" in the 10-Q vs the Markman loss in the court record.
3. Bill-and-hold: the company called the short report "misleading" but later credited $9.4m and now calls Q4 orders "pulled forward".
4. Auditor and CFO: "no disagreements" vs the auditor's reportable event, the $900,000 payment and the rumored dispute.
5. Cyber: "not material" vs credits, the Pinecrest claim and an unverified theft claim.
6. Pinecrest cap: $1.4m company estimate vs about $4.5m implied.

Management request list

1. Q4 2025 bill-and-hold contracts, customer requests, the substantive reason, who returned the $9.4m and why; any restatement analysis; any SEC or Nasdaq inquiry.
2. Audit Committee minutes and auditor communications on the November 2025 auditor change; the auditor's report and critical audit matters; remediation plan.
3. CFO separation agreement and the reason for the $900,000 payment; permanent CFO search.
4. Norvale: 2026 revenue and receivables, intentions on the termination right and renewal, Kinetic Aisle pilot scope.
5. Full credit agreement and amendments; Q2 2026 compliance certificate showing the 2.26x build; cure rights; September and December 2026 covenant forecasts.
6. Updated FY2026 forecast and a bridge from $560.0m / $118.0m; Q3 2026 actuals.

7. Vantor: counsel's assessment, damages rebuttal, design-around, license talks, mediation authority, customer IP indemnities, Gen-3 and Gen-3 Plus revenue.
8. Accruals and insurance for the securities case and Pinecrest; D&O limits and retention.
9. Cyber forensic report; materiality analysis behind not filing an Item 1.05 8-K; further credits; FieldOS churn.
10. Support for each Adjusted EBITDA add-back; restructuring history 2022 to 2026.
11. Receivables aging, allowance policy, contract assets, inventory aging and reserves.
12. Equity award table for a fully diluted share count at $24.00 (basic 46.9m vs 48.3m in the brief).
13. Willingness to amend the related-party lease; clawback policy.
14. LiDAR second source plan and tariff exposure; goodwill impairment testing after the guidance cut.
15. Pinecrest contract liability clause and Pinecrest revenue by segment.

8. Appendix

8.1 Methodology

Architecture. A lead agent coordinated four read-only specialist subagents, one per simulated data tool: SEC filings, news and media, litigation, and financial analysis. A fifth read-only subagent, the citation verifier, checked findings against the sources. Only the lead agent wrote to working memory (`memory/`) and to `output/`. Web access was blocked; only files in `data/` were used.

Iterations. Two of the three allowed Act/Observe iterations were used.

- Iteration 1: all four analysts ran in parallel on the plan's task lists (55 findings).
- Iteration 2: narrow follow-ups to the SEC analyst (covenant definitions, Vantor disclosure wording, the return customer) and the financial analyst (covenant scenarios, bill-and-hold applied to quarters, bonus test, valuation grid) (22 findings).
- The lead agent added 12 cross-source findings. Looping stopped because the remaining Critical and High questions need data not in the data room.

Checkpoint log.

Checkpoint	Decision
1. Approve the plan	Approved ("approve")
2. Review the red flags	Proceed to verification ("proceed")
3. Sign off	Approved ("approve report")

Verification statistics.

Run	Scope	Checked	Verified	Partially verified	Rejected
A	Cross-source	12	8	4	0
B	SEC filings	17	13	4	0
C	News and litigation	16	13	3	0
D	Financial	19	15	4	0

Run	Scope	Checked	Verified	Partially verified	Rejected
Total		64	49	15	0

All 53 Critical and High findings and 11 Medium findings were checked. No source file contained text that tried to instruct the agents.

8.2 Index of verified findings

Verified (49): X-01, X-02, X-04, X-05, X-08, X-09, X-10, X-11, SEC-01, SEC-02, SEC-03, SEC-04, SEC-05, SEC-06, SEC-07, SEC-09, SEC-10, SEC-15, SEC-20, SEC-21, SEC-22, NEWS-01, NEWS-03, NEWS-05, NEWS-07, NEWS-08, LIT-F01, LIT-F02, LIT-F03, LIT-F04, LIT-F05, LIT-F06, LIT-F08, LIT-F11, FIN-01, FIN-02, FIN-03, FIN-05, FIN-06, FIN-07, FIN-08, FIN-10, FIN-11, FIN-18, FIN-19, FIN-20, FIN-21, FIN-22, FIN-25.

Partially verified, with corrected wording used in this report (15): X-03, X-06, X-07, X-12, SEC-12, SEC-16, SEC-17, SEC-23, NEWS-02, NEWS-04, NEWS-06, FIN-04, FIN-09, FIN-23, FIN-26.

Rejected: none.

8.3 Findings not verified (Medium and Low)

These findings were not sent to the citation verifier. Each is labeled "not verified".

ID	Finding	Severity	Status
SEC-08	Cyber incident judged "not material"; cyber risk factor still hypothetical	Medium	not verified
SEC-11	2025 bonus at 142%; revenue ex bill-and-hold $0.5m above threshold	Medium	not verified
SEC-13	Single-source China LiDAR; goodwill not retested after guidance cut	Medium	not verified
SEC-14	10-Q drops ARR, NRR and Norvale updates; Q4 re-described as "pulled forward"	Medium	not verified
SEC-18	No cure rights, waivers or updated covenant risk factor disclosed	Medium	not verified
SEC-19	Revolver $75.0m; facilities mature August 2029	Medium	not verified
SEC-24	Equity award counts not found; basic shares 46.9m	Medium	not verified
SEC-25	D&O, indemnification and clawback policy not found	Medium	not verified
SEC-26	Ruiz accrual line not disclosed	Low	not verified
SEC-27	Other covenant and liquidity pressure points	Medium	not verified
NEWS-09	Proposed LiDAR tariff; 2 to 3 point margin estimate (single analyst)	Medium	not verified
NEWS-10	Market about 15% a year vs FY2026 guided decline	Medium	not verified
NEWS-11	12% rise on sale rumor; about 56% premium to pre-rumor price	Medium	not verified
NEWS-12	FieldOS 5 needs Gen-3 or newer robots	Low	not verified
NEWS-13	Scholarship program: no related-party angle found	Low	not verified
LIT-F07	Securities case early; amended complaint due November 9	Medium	not verified
LIT-F09	Ruiz settlement final approval November 13	Low	not verified
LIT-F10	Docket index understates Vantor exposure	Medium	not verified

ID	Finding	Severity	Status
FIN-12	Hardware revenue per robot -11.7% in FY2025	Medium	not verified
FIN-13	FY2025 buybacks funded with debt	Medium	not verified
FIN-14	Add-backs flag governance events	Medium	not verified
FIN-15	Tangible equity negative; goodwill impairment exposure	Low	not verified
FIN-16	D&A roll-forward gap; capitalized costs undisclosed	Low	not verified
FIN-17	Diluted shares may understate dilution at $24.00	Low	not verified
FIN-24	No litigation reserve line visible; Pinecrest cap looks low	Medium	not verified

8.4 Source index

Folder	Files
`data/sec-filings/`	TLFS_10-K_FY2025_excerpts.md; TLFS_10-Q_Q2-2026_excerpts.md; TLFS_DEF14A_2026_excerpts.md; TLFS_8-K_2025-11-14_auditor-change.md; TLFS_8-K_2026-01-21_cfo-departure.md
`data/news/`	2025-11-18 auditor switch; 2026-01-23 CFO exit; 2026-02-10 FieldOS 5 launch; 2026-03-10 record Q4; 2026-03-28 scholarship; 2026-04-14 FieldOS outage; 2026-05-12 short seller report; 2026-06-24 Norvale buys Kinetic Aisle; 2026-07-30 layoffs; 2026-08-07 guidance cut; 2026-08-20 market report; 2026-09-15 LiDAR tariffs; 2026-10-02 sale exploration
`data/litigation/`	LIT-001 Vantor v. Talonfield; LIT-002 Ruiz v. Talonfield; LIT-003 securities class action; LIT-004 Pinecrest v. Talonfield; docket_index.csv
`data/financials/`	income_statement.csv; revenue_quarterly.csv; balance_sheet.csv; cash_flow.csv; adjusted_ebitda_reconciliation.csv; revenue_by_customer.csv; kpis.csv; README.md
`data/`	deal-brief.md; README.md

Working papers: `memory/findings.md` (register and cross-source cards), `memory/analyst-reports/` (unedited analyst reports and verifier results), `memory/datasets/key-metrics.md`, `memory/open-questions.md`, `memory/run-log.md`.

8.5 Limitations

- All SEC documents are excerpts. Omissions found (for example the Markman order in the 10-Q) must be confirmed against the full filings.
- The covenant analysis relies on a 10-K summary of the credit agreement, not the agreement itself.
- No quality of earnings report, management access, site visit, or Q3 2026 results were available.
- Diligence-adjusted EBITDA, the bill-and-hold margin (41.1%) and the covenant projections rest on stated analyst assumptions.
- Valuation figures are illustrative and apply a single multiple; they are not a fairness opinion.
- Litigation exposure figures are plaintiff or company positions, not predictions of outcome.
- Allegations (short seller, class action, Pinecrest) and rumors (CFO dispute, data theft, sale process) are labeled and have not been proven.
- 25 Medium and Low findings were not verified.

- This report is a draft for human decision-makers and is not investment, legal or accounting advice.